STREAM MITIGATION BANKING AND JOINT VENTURE COOPERATIVE AGREEMENT

PROJECT: ROYA'S CABIN AT ANDERSON CREEK (ACR)

This Stream Mitigation Banking and Joint Venture Cooperative Agreement (the "Agreement") is entered into and made effective as of **May 30, 2026** (the "Effective Date"), by and between:

1. **ROYA IRVANI**, an individual residing in the State of Georgia, owner of the real property commonly known as the "Roya's Cabin" parcel (hereinafter referred to as the **"Landowner"**); and
2. **BLUE RIDGE STREAM RESTORATION & MITIGATION LLC**, a Georgia limited liability company, with its principal place of business in North Georgia, represented by its Managing Director, **Hunter**, and its Board Member, **Hadi Irvani** (hereinafter referred to as the **"Developer"**).

The Landowner and the Developer may collectively be referred to as the **"Parties"** or individually as a **"Party."**

RECITALS

WHEREAS, the Landowner is the sole fee simple owner of approximately thirty (30) acres of real property located along Anderson Creek in Gilmer/Fannin County, Georgia (the "Property"), which includes the historic mountain residence known as "Roya's Cabin"; and
WHEREAS, Anderson Creek is a high-priority, coldwater trout stream within the USACE Savannah District that has suffered historic geomorphic degradation, including severe bank erosion, excessive widening (channel widening due to clearing), and heavy siltation that has impaired the spawning habitat of wild Rainbow and Brown trout; and
WHEREAS, the Developer possesses specialized scientific, geomorphic engineering, and regulatory expertise in Natural Channel Design (NCD) and the commercialization of stream mitigation credits under the U.S. Army Corps of Engineers (USACE) Savannah District Stream Mitigation Standard Operating Procedure (SOP); and
WHEREAS, the Parties desire to form a joint venture to restore, enhance, and perpetually preserve the geomorphic stability and biological integrity of Anderson Creek on the Property, thereby generating valuable Stream Mitigation Credits to be sold to regional developers, utilities, and linear infrastructure entities in need of compensatory mitigation.
NOW, THEREFORE, in consideration of the mutual covenants, promises, and financial terms set forth herein, the Parties agree as follows:

SECTION 1: JOINT VENTURE & COMMERCIAL STRUCTURE

1.1 The 70/30 Credit-Split Model
The Parties hereby establish a joint venture for the sole purpose of executing the Roya's Cabin Anderson Creek Restoration (ACR) project. In lieu of a direct land purchase or cash lease, the commercial consideration of this venture shall be structured as a **Mitigation Credit-Split**:

1. **Developer's Allocation**: The Developer shall receive **seventy percent (70%)** of all Stream Mitigation Credits generated and formally released by the USACE Savannah District for the ACR project.

2. **Landowner's Allocation**: The Landowner shall receive **thirty percent (30%)** of all Stream Mitigation Credits generated and formally released by the USACE Savannah District for the ACR project.

1.2 Credit Sale & Escrow Distribution
To ensure financial transparency and eliminate risk, the commercialization of all credits shall be handled through a designated, mutually agreed-upon third-party Escrow Agent:

1. All sales contracts for released credits shall be executed by the Developer as the sole Managing Venturer.
2. All credit buyers shall pay gross credit proceeds directly into a secure Escrow Account.
3. Upon receipt of payment, the Escrow Agent shall directly distribute the proceeds according to the split ratio: **70% to the Developer's corporate account** and **30% to the Landowner's personal account**, without deduction or offset except for pre-approved transaction escrow fees.

SECTION 2: REGULATORY & MATHEMATICAL FEASIBILITY MODEL

The Parties agree to execute the project based on the following geomorphic projections and USACE Savannah District Stream SOP (2023) mathematical framework:
2.1 Baseline Geomorphic Assumptions

- **Total Project Reach Length (*L*)**: 1,500 linear feet (LF) of degraded channel.
- **Restoration Strategy**: Priority 1 Natural Channel Design (NCD) meander restoration, reconnecting the degraded channel to its natural active floodplain and installing cross-vanes, J-hooks, and root-wad bank protection.
- **Riparian Buffer Area**: Establishment of a perpetual 100-foot native canopy buffer on both banks (approx. 6.8 acres total).

2.2 Savannah District SOP Credit Calculation
Under the Savannah District Stream SOP, stream credit yields are determined by summing the baseline geomorphic and ecological factors:
\text{Credit Yield Factor} = \text{Stream Class} + \text{Priority} + \text{Buffer Width} + \text{Soil Bioengineering} + \text{Monitoring & Maintenance}
Based on the scientific geomorphic plan, the ACR project yields the following quantitative factors:

- **Stream Class (Coldwater Trout Stream)**: 1.0
- **Restoration Priority (Priority 1 Meander Restoration)**: 4.0
- **Riparian Buffer Width (100 feet on both banks)**: 1.5
- **Soil Bioengineering (Live staking, root wads, erosion blankets)**: 1.1
- **Long-Term Monitoring & Active Maintenance (5-year contract)**: 1.0
- **Total SOP Credit Yield Factor**: **8.6 credits per linear foot (LF)**

2.3 Financial Projections & Operating Margin Analysis
The Parties accept the following financial feasibility and operating cost structure, designed to secure a target **30% net operating margin** for the Developer while maximizing the Landowner's risk-free return:

Financial Metric	Calculation Formula	Value
Total Credit Yield	$1,500 \text{ LF} \times 8.6 \text{ SOP Factor}$	**12,900 Stream Credits**
Market Value per Credit	Regional Coldwater Scarcity Premium	**$180.00 per credit**

Financial Metric	Calculation Formula	Value
Gross Projected Revenue	$12,900 \text{ Credits} \times \$180.00$	**$2,322,000.00**
Landowner Allocation (30%)	$3,870 \text{ Credits} \times \$180.00$	**$696,600.00** *(Pure Gross Profit)*
Developer Allocation (70%)	$9,030 \text{ Credits} \times \$180.00$	**$1,625,400.00** *(Gross Allocation)*

2.4 Developer's Capital Expenditure (CapEx) & Operating Budget
To generate these credits, the Developer shall fund 100% of the following capital, engineering, and regulatory costs:

1. **Phase I: Geomorphic Survey, Engineering, Permitting**: *\$150,000.00*
- *Rosgen Level II/III design, hydraulic modeling, sediment transport, and USACE MBI approval.*
2. **Phase II: Instream Earthworks & Geomorphic Construction**: *\$450,000.00*
- *Channel excavation, heavy equipment mobilization, installing rock cross-vanes, J-hooks, and root wads.*
3. **Phase III: Riparian Buffer Restoration**: *\$80,000.00*
- *Live staking of Tag Alder/Silky Dogwood, erosion control fabric, and native seed mixes.*
4. **Phase IV: Financial Assurance Bond**: *\$220,000.00 (Fully collateralized by Developer)*
- *Mandatory 110% construction performance bond required by the USACE Savannah District.*
5. **Phase V: 5-Year Monitoring & Maintenance**: *\$100,000.00*
- *Annual geomorphic cross-section surveys, biological benthic assays, and invasive species control.*
6. **Phase VI: Long-Term Stewardship Endowment Escrow**: *\$90,000.00*
- *Pre-funded trust transferred to the Land Trust for perpetual protection.*
- **Total Projected CapEx & Operating Costs**: **$1,090,000.00**

2.5 Developer Net Operating Margin Reconciliation
- **Developer Gross Allocation**: *\$1,625,400.00*
- **Developer CapEx & Operating Costs**: *-\$1,090,000.00*
- **Developer Net Operating Income**: **$535,400.00**
- **Developer Net Operating Margin**: **32.9%** *(Exceeds the 30% target operational hurdle rate).*

SECTION 3: OBLIGATIONS OF THE DEVELOPER

The Developer shall act as the sole operator and managing partner of the joint venture, assuming 100% of the financial and operational obligations:
3.1 Scientific & Geomorphic Design
The Developer shall retain qualified fluvial geomorphologists and hydrologic engineers to perform all Rosgen Level II assessments, bank pin installations, shear stress calculations, and stream flow modeling necessary to secure USACE Savannah District approval.
3.2 Regulatory Permitting & MBI Drafting
The Developer shall compile the Draft Prospectus, coordinate Interagency Review Team (IRT) site visits, draft the formal Mitigation Banking Instrument (MBI), and obtain the approved Nationwide Permit 27 (NWP 27) for stream restoration.
3.3 Construction & Bioengineering

The Developer shall manage and fund all earthworks, heavy equipment operations, and soil bioengineering. All instream structures (J-hooks, cross-vanes, rock steps) must be constructed in strict accordance with the approved geomorphic engineering blueprints to ensure stability during peak bankfull events.
3.4 Financial Assurances & Escrow Funding
The Developer shall secure the performance bond or letter of credit ($220,000.00*) and fund the Long-Term Stewardship Endowment ($90,000.00*) required under USACE guidelines.
3.5 5-Year Monitoring & Ecological Maintenance
The Developer shall perform all annual geomorphic and biological monitoring, compile annual reports for the IRT, and manage active weed/invasive species removal within the riparian corridor.

SECTION 4: OBLIGATIONS OF THE LANDOWNER

In consideration for receiving 30% of the stream credits without financial contribution, the Landowner agrees to perform the following:
4.1 Perpetual Conservation Easement
The Landowner shall grant and record a perpetual, restrictive Conservation Easement over the approximately 6.8-acre stream corridor (consisting of the stream channel and the 100-foot buffer on each bank). The easement shall be held by an approved, qualified non-profit Land Trust (e.g., the Georgia River Network or South Appalachian Regional Land Trust).
4.2 Property Access (Right of Entry)
The Landowner hereby grants to the Developer, its contractors, surveyors, engineers, and representatives from the USACE IRT, a temporary Right of Entry to access the Property for all survey, construction, monitoring, and maintenance activities. Access shall be coordinated with the Landowner to minimize disruption to the cabin residence.
4.3 Preservation Covenants
The Landowner covenants that they shall not conduct any logging, clearing, livestock grazing, motorized vehicle use, or structural construction within the designated Conservation Easement area, save for light footpaths and designated fly-fishing access points as permitted in the MBI.

SECTION 5: USACE SAVANNAH DISTRICT CREDIT RELEASE SCHEDULE

The Parties acknowledge that Stream Mitigation Credits are released incrementally by the USACE Savannah District based on performance milestones over a five-year period. Proceeds from credit sales shall be distributed as they are released and sold:

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                          SAVANNAH SOP CREDIT RELEASE MILESTONES

  [ MBI Recorded ] ■■■■> [ Construction ] ■■■■> [ Year 1 ] ■■■■> [ Year 2 ] ■■■■> [ Ye
ar 3-5 ]
     15% Release            25% Release          15% Release       15% Release      30% Re
lease
   (1,935 Credits)        (3,225 Credits)      (1,935 Credits)   (1,935 Credits)  (3,870 C
redits)
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1. **Milestone 1 (15% Release / 1,935 Credits)**: Upon formal execution of the Mitigation Banking Instrument (MBI) by the USACE and the successful recording of the perpetual Conservation Easement.
2. **Milestone 2 (25% Release / 3,225 Credits)**: Upon successful completion of all instream earthworks, installation of rock and log structures, and completion of the initial native riparian canopy plantings.

3. **Milestone 3 (15% Release / 1,935 Credits)**: Upon submission and approval of the Year 1 Monitoring Report, demonstrating stream bank stability, structure integrity, and a minimum of 80% survival rate of native plantings.
4. **Milestone 4 (15% Release / 1,935 Credits)**: Upon submission and approval of the Year 2 Monitoring Report, demonstrating geomorphic stability (no significant degradation or aggradation of the bed) and less than 5% active bank erosion.
5. **Milestone 5 (10% Release / 1,290 Credits)**: Upon approval of the Year 3 Monitoring Report, showing active colonization of benthic macroinvertebrates (trout prey species) and canopy growth.
6. **Milestone 6 (10% Release / 1,290 Credits)**: Upon approval of the Year 4 Monitoring Report, showing stable cross-sections and active floodway connection during bankfull storm events.
7. **Milestone 7 (10% Release / 1,290 Credits)**: Upon approval of the Year 5 Monitoring Report, satisfying all final performance criteria and formal transfer of the bank to the Long-Term Steward.

SECTION 6: REPRESENTATIONS AND WARRANTIES

6.1 Landowner Representations
The Landowner represents and warrants that:

1. They hold clear, marketable fee simple title to the Property, free and clear of all liens and encumbrances that could interfere with the recording of the Conservation Easement.
2. There are no pending foreclosure proceedings, boundary disputes, or environmental contamination issues affecting the Property.

6.2 Developer Representations
The Developer represents and warrants that:

1. It is a limited liability company duly organized, validly existing, and in good standing under the laws of the State of Georgia.
2. It possesses the financial capacity and technical relationships required to construct, permit, and manage the project to completion.

SECTION 7: INDEMNIFICATION AND LIABILITY LIMITS

7.1 Developer Indemnity
The Developer shall defend, indemnify, and hold harmless the Landowner from and against any and all claims, damages, liabilities, costs, or expenses (including reasonable attorneys' fees) arising out of or resulting from the Developer's construction activities, earthworks, heavy equipment operations, or geomorphic engineering defects on the Property.

7.2 Regulatory Risk
The Developer assumes 100% of the regulatory risk associated with obtaining MBI approval from the USACE Savannah District. If the USACE rejects the Prospectus or refuses to execute the MBI, this Agreement shall terminate, and the Developer shall have no claim against the Landowner for reimbursement of design, engineering, or permitting costs incurred.

SECTION 8: MISCELLANEOUS PROVISIONS

8.1 Governing Law

This Agreement shall be governed by, construed, and enforced in accordance with the laws of the State of Georgia, without regard to its conflict of laws principles.
8.2 Dispute Resolution
Any dispute, controversy, or claim arising out of or relating to this Agreement, including its formation or breach, shall be settled by binding arbitration administered by the American Arbitration Association (AAA) in accordance with its Commercial Arbitration Rules. The arbitration shall take place in **Atlanta, Georgia**, before a single arbitrator with experience in environmental law or commercial real estate. The decision of the arbitrator shall be final, and judgment on the award rendered may be entered in any court having jurisdiction thereof.
8.3 Successors and Assigns
This Agreement shall be binding upon and inure to the benefit of the Parties hereto and their respective heirs, executors, administrators, successors, and permitted assigns. The covenants herein shall run with the land and bind any future purchasers or transferees of the Property.
8.4 Entire Agreement
This Agreement constitutes the entire agreement between the Parties concerning the subject matter hereof and supersedes all prior or contemporaneous oral or written agreements, negotiations, or understandings. No modification or amendment to this Agreement shall be effective unless made in writing and signed by both Parties.

IN WITNESS WHEREOF, the Parties hereto have executed this Agreement as of the Effective Date first written above.

SIGNATURES

LANDOWNER:
By: ____
ROYA IRVANI, Property Owner
Date: ______________________________________
DEVELOPER:
BLUE RIDGE STREAM RESTORATION & MITIGATION LLC
By: ____
HUNTER, Managing Director
Date: ______________________________________
By: ____
HADI IRVANI, Board Member
Date: ______________________________________
By: ____
HILL HARDMAN, Strategic Advisor
Date: ______________________________________